on Finance, where the Governor reports on the activities of the Bank, and the Committee offers its views and concerns.

RANK OF RBI GOVERNOR

There is a reason why central bank governors sit at the table along with the finance ministers in G-20 meetings. It is that the central bank Governor, unlike other regulators or government secretaries, has command over significant policy levers and has to occasionally disagree with the most powerful people in the country.

It is dangerous to have a *de facto* powerful position with low *de jure* status. Today, the RBI Governor has the salary of the Cabinet Secretary. He or she is appointed by the Prime Minister in consultation with the Finance Minister. The Governor's rank in the government hierarchy is not defined but it is generally agreed that decisions will be explained only to the Prime Minister and the Finance Minister. There is an informal understanding in India that the Governor has the room to make needed decisions. In the interests of macroeconomic stability, none of this should be changed, though if these issues are ever revisited, there may be some virtue in explicitly setting the Governor's rank commensurate with her position as the most important technocrat in charge of economic policy in the country.

COMMUNICATION

I do not fool myself into thinking that reporters and TV cameras follow me around everywhere because I am a magnetic speaker. They follow RBI governors around because they may offer market-moving information on policy. Fortunately, I have escaped unintentionally saying anything that moves markets.

At the same time, while different RBI governors have different approaches to communication, no one can dispense with it. Unlike a developed country, where the central bank chairman can offer periodic